

Company Overview

HDFC Bank Limited (also known as HDFC) is an Indian banking and financial services company headquartered in Mumbai. It is India's largest private sector bank by assets and the world's tenth-largest bank by market capitalization as of May 2024. As of April 2024, HDFC Bank has a market capitalization of \$145 billion, making it the third-largest company on the Indian stock exchanges

Key Financial Ratios Table

Year	NPM %	ROE %	D/E	Interest Coverage	Asset Turnover	FCF (Cr)
2024	23.1%	14.3%	6.81	1.4	0.07	35669.0
2023	27.0%	15.9%	7.39	1.9	0.07	17822.0
2022	28.1%	15.4%	7.22	1.8	0.06	-14011.0
2021	24.8%	15.2%	7.20	1.9	0.07	40653.0
2020	22.3%	15.5%	7.56	1.8	0.08	-18272.0
2019	21.3%	14.6%	7.03	1.8	0.08	-64375.0
2018	21.8%	16.9%	8.62	1.8	0.08	16372.0
2017	20.9%	16.7%	8.08	1.8	0.08	16136.0
2016	20.3%	17.3%	8.74	1.8	0.08	-35272.0
2015	21.1%	16.9%	8.07	1.7	0.08	-22081.0

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Qualitative Investment Insights

Strengths (Pros):

- Revenue growing at above 15% CAGR over 5 years (22.0%) reflects strong business momentum
- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Net profit compounding at above 20% over 5 years creates significant shareholder value

Risks & Concerns (Cons):

- Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility